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Secure Distribution Venture Pvt. Ltd.

What is TReDS Platform Funding?

Trade Receivables Discounting System (TReDS): An Institutional-Grade Guide to Multi-Financier Auction Mechanics, Statutory Legal Frameworks, and Operational Workflows under the RBI Regulations

Developed by www.loanbazaaronline.com

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Chapter 1: The Genesis and Philosophy of TReDS

Micro, Small, and Medium Enterprises (MSMEs) constitute the backbone of the Indian economy, driving industrial output, generating massive employment, and fueling export growth. Despite their structural importance, MSMEs have historically faced severe constraints in accessing formal, affordable, and timely working capital. The core of this credit crunch is the structural trade mismatch known as the B2B Asset-Liability Mismatch. MSMEs typically supply raw materials, sub-components, or services to large corporate buyers, government departments, or Public Sector Undertakings (PSUs). While the goods are delivered immediately, payment cycles are delayed, often stretching from 45 to 120 days, or even longer.

Under the Micro, Small and Medium Enterprises Development (MSMED) Act, 2006, corporate buyers are legally mandated to settle MSME dues within 45 days. However, corporate anchors have historically leveraged their immense purchasing power to delay payments, effectively using small suppliers as interest-free credit lines. This severely depletes the supplier's cash reserves, forcing them to borrow from informal sources at usurious interest rates (often exceeding 24% to 36% p.a.) or face operational shutdown. Traditional bank credit structures—such as Cash Credit (CC) and Overdraft (OD) facilities—do not resolve this. Under traditional lines, banks assess the borrowable capacity based on the MSME's modest, asset-light balance sheet and require physical collateral (such as real estate or machinery) which MSMEs rarely possess.

To dismantle this credit bottleneck, the Reserve Bank of India (RBI) introduced the concept of the Trade Receivables Discounting System (TReDS) in 2014. TReDS is a unified digital exchange that shifts the credit underwriting pivot from the small MSME supplier's weak balance sheet to the large Corporate Buyer's strong balance sheet. It is a multi-financier marketplace where bank underwriters and Non-Banking Financial Companies (NBFC-Factors) compete via transparent, real-time auction bidding to discount invoices accepted by corporate anchors. The primary objective is to convert static trade receivables into instant, non-recourse liquidity for MSMEs, completely bypassing physical collateral requirements.

> ★ **CORE REGULATORY INNOVATION: TReDS completely neutralizes the MSME supplier's balance sheet weakness. The cost of financing is strictly linked to the corporate buyer's credit rating, allowing a BBB or sub-investment grade MSME to secure credit at AAA/AA pricing levels.**

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Chapter 2: Comparative Taxonomy: TReDS vs. Traditional Factoring vs. Invoice Discounting

For a rookie in finance, it is critical to understand the distinction between TReDS platform funding, traditional invoice factoring, and open-account invoice discounting. While all three structures aim to monetize unpaid invoices, their underlying risk distribution, bidding mechanisms, recourse conditions, and regulatory compliance paths differ radically. The comparative table below outlines these crucial operational and legal dimensions.

Parameter	TReDS Platform Funding	Traditional Factoring	Open Invoice Discounting
Primary Platform	Digital exchange (RXIL, M1xchange, Invoicemart)	Direct bilateral bank/NBFC ledger	Direct private bank or digital LSP portal
Bidding / Pricing	Dynamic multi-financier auction (SOFR/EBLR linked)	Fixed bilateral tariff sheet pricing	Bilateral bank-determined card rates
Recourse Clause	Mandatory 100% Non-Recourse on MSME supplier	Can be Recourse or Non-Recourse	Typically Recourse to the seller
Buyer Consent	Mandatory (Buyer must accept invoice on portal)	Required for Disclosed; skipped for Confidential	Not explicitly required (seller-centric line)
CERSAI Filing	Automatic electronic charge registration in 10 days	Manual filing within 30 days under Factoring Act	Charge on book debts manually created

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Ind AS Treatment	Absolute off-balance sheet derecognition (Ind AS 109)	On-balance sheet unless 100% non-recourse transfer	Remains on-balance sheet as short-term loan

Chapter 3: The TReDS Ecosystem: Actors and Systemic Mechanics

To appreciate how TReDS operates as a seamless credit delivery platform, we must examine the roles of the three primary structural participants legally registered under RBI guidelines:

- **The MSME Supplier (Seller):** The micro, small, or medium enterprise that delivers goods/services to the corporate buyer. The seller initiates the trade loop by uploading invoices, delivery challenges, and matching GSTN GSTR-1 e-way bills onto the portal.
- **The Corporate Buyer (Anchor):** The large corporate entity, multinational company, government department, or PSU with credit-vetted strength. The buyer accepts the uploaded invoice on the platform, establishing a binding, unconditional, and irrevocable usance obligation to pay on the pre-agreed maturity date.
- **The Financiers:** Registered commercial banks (public, private, and foreign) and RBI-authorized Non-Banking Financial Companies (NBFC-Factors). Financiers log into the digital exchange, view the accepted invoice batches, and bid dynamically based on the corporate anchor's risk premium.

The physical and financial mechanics of a single TReDS transaction are highly structured and execute across five chronological phases:

Phase I: Commercial Execution and Invoice Uploading

The MSME seller dispatches the goods along with a valid commercial invoice and e-way bill. The seller then logs into the TReDS platform (such as RXIL, M1xchange, or Invoicemart) and uploads the invoice metadata, including the Buyer's PAN, Seller's PAN, Invoice Number, Gross Value, GST Amount, and Usance Payment Terms (e.g., 90 Days usance). The platform automatically verifies the invoice validity via API integrations with the GSTN portal.

Phase II: Buyer Digital Acceptance and Irrevocable Usance Creation

The corporate buyer receives an automated notification on the platform. The buyer's treasury logs in, audits the invoice against their internal ERP (matching against Goods Receipt Notes - GRN and physical Gate-Entries), and clicks 'Accept'. Under the RBI regulatory framework, this digital click is legally equivalent to signing an irrevocable usance bill under the Negotiable

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Instruments Act, 1881. The buyer contractually waives all rights to trade-level dispute claims or discounts, converting the invoice into an unconditional debt obligation due to the holder in due course on maturity.

Phase III: The Multi-Financier Auction and Dynamic Bidding

Once accepted, the invoice becomes a 'Factoring Unit' on the exchange. Financiers (banks and NBFCs) analyze the corporate buyer's rating and submit bidding quotes. Bidding is structured as a blind auction, where financiers propose a discount rate (expressed as an annualized percentage, e.g., SOFR + 150 bps or EBLR + 100 bps). The auction period is highly condensed, typically lasting from 24 to 48 hours.

Phase IV: Bid Acceptance and Instant Disbursal

The TReDS platform ranks the bids and presents the best pricing (lowest interest rate) to the MSME seller. If the seller accepts the bid, the transaction is locked. The winning financier's system executes an automated disbursal via the National Electronic Funds Transfer (NEFT) or Real-Time Gross Settlement (RTGS) network. The seller receives instant liquidity equal to the invoice amount minus the discounted interest and processing fees. Crucially, payment is sent directly to the supplier's designated Escrow bank account, with zero collateral or margin retention (100% advance).

Phase V: Settlement and Escrow Payout

On the final usance maturity date, the platform automatically triggers an NACH (National Automated Clearing House) debit mandate against the corporate buyer's pre-registered settlement account. The buyer's bank transfers the gross invoice amount (100% value) directly to the financier's settlement account. If the buyer defaults on maturity, the platform records a technical default, but the financier has zero legal recourse to recover the advanced funds from the MSME seller.

> ★ **MANDATORY CAPITAL RULE: The TReDS system operates on a strict non-recourse basis. Once the supplier accepts the bid and receives disbursal, the corporate buyer's credit default risk is entirely absorbed by the financier's balance sheet.**

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Chapter 4: Underwriting, Credit Assessment, and Bidding Dynamics

Because TReDS is a digital exchange, financiers do not conduct long-winded, manual physical appraisals. Underwriting on TReDS is highly automated and utilizes transaction-level data and API integrations with central registries. Financiers assess risk across four distinct dimensions:

- **Corporate Anchor External Credit Rating:** The primary pricing anchor is the buyer's long-term and short-term credit ratings assigned by RBI-accredited credit rating agencies (CRISIL, ICRA, CARE, India Ratings). Financiers set risk spreads directly mapped to these ratings. AAA-rated buyers command the lowest interest rates (typically EBLR or 3-Month SOFR flat), while BBB-rated anchors attract higher credit spreads (Benchmark + 150 to 250 bps).
- **Supplier CIBIL MSME Rank (CMR):** While financing is non-recourse, financiers still audit the seller's CIBIL MSME Rank (CMR 1 to CMR 10) to identify systemic fraud risks or trade-level operational disruptions. Exporters or manufacturers with ranks of CMR 1 to CMR 4 indicate low default and dispute probability, representing high operational integrity.
- **GSTN GSTR-2B Matching and E-Way Bill Lifecycle:** To prevent fake invoicing and duplicate bills, the platform matches invoice metadata with GSTR-2B (reconciling tax filings) and e-way bill portals. This digital audit confirms the physical transport of goods across state checkpoints, completely eliminating the risk of paper-shuffling fraud.
- **Invoice Dilution Rate:** Financiers track the historical dilution rate—representing credit notes, debit notes, product returns, or cash discounts applied by the buyer over the past 12 months. Dilution rates below 2.5% are considered excellent, indicating robust manufacturing and commercial quality control.

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Chapter 5: Legal Framework, Assignment of Receivables, and CERSAI Registration

The legal enforceability of TReDS transactions is built upon a rock-solid statutory framework under Indian law. It relies on three core legislative pillars to establish absolute priority for financiers:

1. The Negotiable Instruments Act, 1881 (Section 13, 30 & 78)
When the corporate buyer digitally accepts the invoice, the TReDS system creates an electronic bill of exchange backed by a digital signature. This digital bill satisfies all statutory definitions of a 'Bill of Exchange' under Section 13. On maturity, the financier becomes the 'Holder in Due Course' (Section 78), giving them an absolute, indefeasible legal right to collect payment directly from the buyer. The buyer cannot plead trade disputes, delayed shipments, or set-offs to defer or refuse payment.

2. Section 130 of the Transfer of Property Act, 1882 (Assignment of Actionable Claims)
The monetization of trade receivables requires a legal transfer of book debts. Under Section 130, trade receivables are classified as 'Actionable Claims'. The transaction is executed via a 'Deed of Assignment' embedded in the TReDS platform's Master Terms and Conditions. When a financier wins a bid, the platform executes a digital notice of assignment (NoA) stamp, legally divesting the MSME supplier of all title and rights to the book debt and transferring them to the financier.

3. The Factoring Regulation Act, 2011 & The Amendment Act, 2021 (Mandatory CERSAI Registration)
Historically, factoring was plagued by the 'Double Invoicing Fraud' risk, where an unscrupulous borrower pledged the same invoice to multiple banks. To prevent this, the Factoring Regulation Act, 2011 mandates that any assignment of receivables must be registered with the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI). The Factoring Regulation (Amendment) Act, 2021 introduced a revolutionary technical feature: it mandates that TReDS platform operators must automatically and electronically register factoring charges with CERSAI on behalf of the winning financiers within a strict 10-day statutory window. This real-time, API-driven API-blocking completely prevents duplicate financing.

> ★ **STATUTORY POLICY REFORM: The Factoring Regulation (Amendment) Act, 2021 revolutionized MSME lending by expanding the eligible financiers. By removing the restrictive 'principal business' criterion, over 9,000 NBFCs became legally eligible to act as factors on TReDS.**

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Chapter 6: Suitable Industries, Institutional Adoption, and Mandatory Onboarding Guidelines

TReDS platform funding is highly sector-agnostic, but it is exceptionally effective in high-growth, manufacturing, and trade sectors with extended supply chains. Key industries include:

- **Automotive Components and Ancillaries:** Tier-2 and Tier-3 suppliers utilize TReDS to discount invoices raised on Tier-1 component giants and OEM automakers.
- **Consumer Electronics and Durables:** Under the government's Electronic Vision 2030 PLI scheme, domestic component assemblers discount usance invoices on major consumer brands.
- **Retail and Wholesale Distribution:** According to commercial credit data, Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore exposure segment, relying on TReDS for liquid cash flows.

Recognizing TReDS' potential to formalize MSME credit, the Ministry of Micro, Small and Medium Enterprises issued a landmark regulatory mandate in November 2018. Under this mandate, all corporate entities registered under the Companies Act, 2013 with a turnover exceeding ₹500 Crores, and all Central Public Sector Enterprises (CPSEs), are legally required to onboard onto the TReDS platforms. This mandate has forced massive institutional adoption, unlocking a vast pool of high-quality corporate receivables for competitive bidding.

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Chapter 7: Commercial Pricing, Charges, Interest Math, and Tax Shields

The commercial pricing of a TReDS transaction is highly transparent, with no hidden margins. Because financiers compete on an open auction platform, interest rates are significantly lower than standard commercial overdrafts. Pricing is comprised of three core components:

- **The Upfront Discount Rate (Interest Cost):** Calculated as an annualized percentage mapped to the buyer's credit risk. Interest is calculated on a daily reducing balance usance basis and is deducted upfront from the disbursed principal.
- **The Platform Fee:** A nominal transaction fee (typically 0.10% to 0.15% of the invoice value) charged by the platform operator (RXIL, M1xchange) for hosting the exchange.
- **GST on Service Charges:** Under GST rules, core interest and discount components are completely GST-exempt. However, upfront platform processing fees and bank service fees attract 18% GST.

Crucially, the interest incurred during invoice discounting qualifies as a fully tax-deductible business expenditure under Section 36(1)(iii) of the Income Tax Act, 1961. This creates an Interest Tax Shield, where the effective after-tax cost of borrowing is substantially reduced by the company's corporate tax rate. For a company taxed at the statutory rate of 25.17%, the net financial burden is reduced by over a quarter, enhancing profitability.

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Chapter 8: Regulatory Standards, Asset Classification (IRACP), and Digital Lending Frameworks

All trade credit facilities in India—including TReDS platform funding—are strictly regulated under the RBI's Income Recognition, Asset Classification, and Provisioning (IRACP) guidelines. To maintain credit health, bank financiers track overdue accounts across a rigid chronological timeline:

- **Special Mention Account 0 (SMA-0):** Triggered immediately if the principal or interest payment from the corporate buyer is overdue from 1 to 30 days past the usance maturity date.
- **Special Mention Account 1 (SMA-1):** Triggered if dues are overdue from 31 to 60 days.
- **Special Mention Account 2 (SMA-2):** Triggered if dues are overdue from 61 to 90 days.
- **Non-Performing Asset (NPA):** On the 91st day of continuous default, the tranche is classified as a Substandard NPA. Under RBI rules, banks must set aside a mandatory 15% provisioning reserve.

Additionally, TReDS operators comply with the RBI's Digital Lending Guidelines. To prevent under-the-radar systemic risk transfers, any Default Loss Guarantee (DLG) or First Loss Default Guarantee (FLDG) arrangements provided by third-party Lending Service Providers (LSPs) are strictly capped at a maximum of 5% of the aggregate credit portfolio exposure. Furthermore, to maintain customer protection, recovery agencies are legally restricted from contacting buyers outside the standard hours of 07:00 AM to 07:00 PM.

In terms of financial reporting, corporate buyers must adhere to strict transparency standards. Under Ind AS guidelines, if a supplier finance arrangement like TReDS contains features (such as extended credit periods or collateralized parent guarantees) that alter the commercial substance of standard trade payables, the buyer must reclassify the liability as 'Other Financial Liabilities' on their balance sheet and disclose the arrangement under Ind AS 107, preventing hidden leverage.

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Chapter 9: Detailed Real-World Case Study: Mumbai Packaging Systems Pvt. Ltd.

To illustrate the precise mathematical, legal, and operational mechanics of TReDS platform funding, we present a real-world commercial transaction. This case study maps a transaction executed by Mumbai Packaging Systems Pvt. Ltd. (the Seller), an MSME certified manufacturer of specialized boxes, and Apex Consumer Goods India Ltd. (the Buyer), a AAA-rated corporate anchor with a registered credit spread.

Key Transaction Parameters:

- **Gross Invoice Value:** ₹50,00,000 (₹50 Lakhs), inclusive of 18% GST
- **Usance Payment Period:** 90 Days usance
- **Corporate Tax Rate of Seller:** 25.17% (statutory corporate tax rate)
- **Platform Transaction Fee:** 0.10% of gross invoice value
- **Bidding Auction Outcome:** State Bank of India (SBI) wins the auction with a competitive bid of 8.50% p.a. (EBLR flat)

Mathematical Modeling and Cash Flow Calculations

Step 1: Gross Advanced Principal (100% Advance Rate)
Unlike traditional factoring where banks hold a 10% to 15% margin reserve, TReDS platforms operate on a 100% advance rate. The gross financing principal is the full invoice value:
Gross Financed Principal = ₹50,00,000

Step 2: Upfront Interest Calculation (Daily Reducing Balance Simple Interest)
The interest is computed on the financed principal using the actual/365 day count convention:
Interest Cost = Financed Principal × Interest Rate × (Usance Tenure / 365)
Interest Cost = ₹50,00,000 × 8.50% × (90 / 365)
Interest Cost = ₹50,00,000 × 0.085 × 0.246575
Interest Cost = ₹1,04,794.52 (exempt from GST)

Step 3: Platform Processing Fee and GST Calculation
The platform operator charges an upfront processing fee of 0.10%, which is subject to 18% GST:
Platform Processing Fee = ₹50,00,000 × 0.10% = ₹5,000.00
GST on Platform Fee (18%) = ₹5,000.00 × 18% = ₹900.00
Total Platform Charges (inclusive of GST) = ₹5,900.00

Step 4: Upfront Net Disbursed Cash Payout on Day 1
The net cash remitted to Mumbai Packaging's bank account is the principal minus interest and platform charges:
Net Payout = Gross Principal - Interest Cost - Platform Fee - GST on Fee

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Net Payout = ₹50,00,000.00 - ₹1,04,794.52 - ₹5,000.00 - ₹900.00
Net Payout = ₹48,89,305.48

Step 5: Effective Annualized Borrowing Rate and Post-Tax Interest Shield
Under Section 36(1)(iii) of the Income Tax Act, 1961, the interest and platform fees are fully tax-deductible, allowing the company to claim a 25.17% corporate tax shield:
Total Pre-Tax Borrowing Cost = Interest Cost + Platform Fee = ₹1,04,794.52 + ₹5,000.00 = ₹1,09,794.52
Tax Shield Value = ₹1,09,794.52 × 25.17% = ₹27,635.28
Net After-Tax Borrowing Cost = ₹1,09,794.52 - ₹27,635.28 = ₹82,159.24
Effective After-Tax Annualized Rate = (₹82,159.24 / ₹50,00,000) × (365 / 90) = 6.66% p.a.
This post-tax rate is significantly lower than SBI's prime lending rate, proving the immense credit arbitrage gained on the TReDS platform.

The Default Default Scenario (Maturity Settlement Risk)
On Day 90 usance maturity, the TReDS platform triggers an automated settlement sweep. If Apex Consumer Goods is facing a severe liquidity crisis and has zero funds in its account, the transaction defaults. SBI (the financier) records a technical default against Apex on the platform and issues legal notices under the Negotiable Instruments Act, 1881. Crucially, because TReDS operates strictly on a **100% Non-Recourse** basis, SBI is legally barred from pursuing Mumbai Packaging. The supplier keeps the disbursed ₹48.89 Lakhs, and its cash flows remain completely unimpacted by the buyer's insolvency.

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Chapter 10: 10-Question Practice Certification Examination

This mock exam is designed to verify the reader's understanding of Indian trade credit regulations, systemic billing mechanics, legal assignments under Section 130, CERSAI charge registration rules, and RBI IRACP compliance.

Module 10.1: Question 1 (Statutory MSME Delayed Payment Protection)

Under the Micro, Small and Medium Enterprises Development (MSMED) Act, 2006, what is the maximum permissible credit period a corporate buyer can negotiate with an MSME supplier before interest penalties apply?

A) Max 90 Days usance from the date of acceptance.

B) Max 60 Days usance from the date of invoice upload.

C) Max 45 Days from the date of physical delivery / acceptance of goods.

D) Unlimited, subject to bilateral mutual commercial terms signed under a master agreement.

Correct Option: C.

★ Rationale & Analysis:
Section 15 of the MSMED Act, 2006 strictly mandates that the payment period for goods or services supplied by an MSME to any buyer must not exceed 45 days from the date of physical delivery/acceptance on the platform.

Module 10.2: Question 2 (TReDS Legal Non-Recourse Mandate)

Under the RBI regulatory framework for TReDS, if the corporate buyer defaults on paying the financier at usance maturity, what recourse does the financing bank have against the MSME supplier?

A) The bank can execute a charge back and sweep the seller's current account for the principal.

B) The bank can seize 10% of the collateral reserve held by the platform.

C) Zero recourse; the transaction is 100% non-recourse, and the financier absorbs the default on its balance sheet.

D) The bank can file an automatic CIBIL dispute and downgrade the supplier's credit rank.

Correct Option: C.

★ Rationale & Analysis:
One of the non-negotiable regulatory pillars of the TReDS platform is that all trade receivables discounting must be executed on a non-recourse basis. The financier assumes 100% of the buyer's credit default risk.

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Module 10.3: Question 3 (Factoring Regulation Act CERSAI Filing Window)

Under the Factoring Regulation (Amendment) Act, 2021, what is the statutory window for registering a factoring charge with CERSAI, and who is responsible for executing this during a TReDS transaction?

A) The MSME supplier must manually file the charge within 30 days of auction close.

B) The TReDS platform operator must electronically register the factoring transaction on behalf of the winning financier within a strict 10-day window.

C) The winning bank must file a manual form within 45 days on the CERSAI portal.

D) CERSAI registration is completely optional for digital trade finance transactions.

Correct Option: B.

★ Rationale & Analysis:
The Factoring Regulation (Amendment) Act, 2021 streamlined digital credit by mandating TReDS operators to electronically register factoring transactions directly with CERSAI within a 10-day statutory window.

Module 10.4: Question 4 (The Negotiable Instruments Act Bill of Exchange Pillar)

Under the Negotiable Instruments Act, 1881, which statutory section establishes that a corporate buyer's digital acceptance on the TReDS platform creates a legally binding, unconditional bill of exchange?

A) Section 138 (Cheque bounce penalties).

B) Section 13 (Definition of a Negotiable Instrument / Bill of Exchange).

C) Section 130 (Assignment of Actionable Claims).

D) Section 281(1)(ii) (Tax clearance certificate mandates).

Correct Option: B.

★ Rationale & Analysis:
Section 13 of the Negotiable Instruments Act, 1881 defines a negotiable instrument, which includes bills of exchange. Digital acceptance on TReDS creates an electronic usance bill of exchange.

Module 10.5: Question 5 (Transfer of Property Act Assignment of Claims)

Under the Transfer of Property Act, 1882, trade receivables are classified as 'Actionable Claims'. Which specific section defines the legal assignment of these claims, authorizing the financier to sue for recovery directly?

A) Section 172 (Pledge bailment).

B) Section 130 (Assignment of Actionable Claims).

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C) Section 54 (Definition of tangible sales).

D) Section 10(1)(b) (Place of supply rules).

Correct Option: B.

★ Rationale & Analysis:
Section 130 of the Transfer of Property Act, 1882 governs the assignment of actionable claims. Signing the platform's Master T&Cs executes a valid deed of assignment.

Module 10.6: Question 6 (Mandatory Corporate Onboarding Thresholds)

Under the November 2018 Ministry of MSME directive, what is the legal turnover threshold above which a corporate entity is mandated to onboard onto the TReDS exchange platform?

A) Companies with a turnover exceeding ₹50 Crores.

B) Companies with a turnover exceeding ₹250 Crores.

C) Companies with a turnover exceeding ₹500 Crores.

D) All companies registered on the BSE/NSE, regardless of turnover.

Correct Option: C.

★ Rationale & Analysis:
To force institutional participation, the Ministry of MSME issued a mandate legally forcing all corporate entities with an annual turnover exceeding ₹500 Crores to register on TReDS.

Module 10.7: Question 7 (GST Treatment of Financing Components)

Under Indian Goods and Services Tax (GST) guidelines, how are interest discounting charges and platform processing fees treated for taxation during a TReDS transaction?

A) Both interest discounting and platform fees are completely exempt from GST.

B) Interest/discount is 100% exempt from GST; however, platform transaction fees attract a standard 18% GST.

C) Platform fees attract 5% GST, while interest charges are taxed at a flat 12% rate.

D) A flat GST of 18% is applied to the gross advanced principal.

Correct Option: B.

★ Rationale & Analysis:
Under GST rules, core interest and discount financing charges are classified as financial services and are completely exempt from GST. Upfront platform fees attract standard 18% GST.

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Module 10.8: Question 8 (The Income Tax Shield Framework)

Under which specific section of the Income Tax Act, 1961, can an MSME supplier deduct the interest and factoring costs incurred on TReDS as a legitimate business expense?

A) Section 80IA (Industrial tax holidays).

B) Section 36(1)(iii) (Interest on borrowed capital).

C) Section 43B (Payment on actual realization basis).

D) Section 194C (TDS deduction rules).

Correct Option: B.

★ Rationale & Analysis:
Section 36(1)(iii) of the Income Tax Act, 1961 allows a deduction for interest paid on capital borrowed for business operations, creating an Interest Tax Shield.

Module 10.9: Question 9 (The 90-Day IRACP Overdue SMA Thresholds)

A corporate buyer's discounted invoice remains unpaid on maturity. On Day 61 past the usance maturity date, what is the asset classification of this transaction under the RBI's IRACP guidelines?

A) Special Mention Account 0 (SMA-0).

B) Special Mention Account 1 (SMA-1).

C) Special Mention Account 2 (SMA-2).

D) Non-Performing Asset (NPA).

Correct Option: C.

★ Rationale & Analysis:
Under RBI IRACP rules, an account is classified as SMA-0 from 1-30 days overdue, SMA-1 from 31-60 days overdue, and SMA-2 from 61-90 days overdue. On the 91st day, it becomes an NPA.

Module 10.10: Question 10 (RBI Digital Lending Default Loss Guarantee Limit)

Under the RBI's Digital Lending Directions, what is the maximum permissible cap on Default Loss Guarantee (DLG) or First Loss Default Guarantee (FLDG) arrangements provided by third-party LSPs?

A) Capped at a maximum of 2.0% of the aggregate credit portfolio.

B) Capped at a maximum of 5.0% of the aggregate loan portfolio exposure.

C) Capped at a maximum of 10.0% of the aggregate credit portfolio.

D) Guarantee arrangements are completely prohibited for digital supply chain portfolios.

Correct Option: B.

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★ Rationale & Analysis:
To prevent under-the-radar systemic risk transfers, the RBI's Digital Lending guidelines cap Default Loss Guarantee (DLG) arrangements at a maximum of 5.0% of the aggregate portfolio exposure.

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